Samsung Electro-Mechanics (009150.KS)

AI tailwinds on MLCC and ABF to lead to a slight beat in 3Q26 OP and continued strong profit growth; Buy

009150.KS	12m Price Target: **W2,400,000**	Price: **W1,546,000**	Upside: **55.2%**

BUY

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We raise our 3Q26E OP estimate for Samsung Electro-Mechanics (SEMCO) by 12% to W670bn, as we believe the tailwinds from the solid fundamentals in its key businesses (MLCC and FC-BGA) mainly supported by strong AI demand are more than offsetting the headwinds coming from the stronger KRW vs. USD. Our updated estimate is slightly higher compared to the latest BBG consensus estimate of W653bn. We remain Buy rated with an updated 12m TP of W2,400,000 (from W2,250,000 previously).

- **Significant increase in AI MLCC mix to elevate revenue and margin:** We believe SEMCO's MLCC revenue and OP will sustain a solid growth trajectory despite the recent KRW appreciation, driven by ongoing tightness of MLCC supply leading to favorable ASP and better product mix from high-margin AI MLCC sales. Recently disclosed MLCC orders demonstrate this supplier-driven market (Exhibit 3), as customers are signing LTA contracts for MLCC supplies for 2027, which in total already account for roughly a quarter of our estimated MLCC revenue for 2027. As we believe most of these 2027 orders that have been disclosed were AI MLCC orders with higher margins and ASP, we revise up our AI MLCC revenue mix to 21%/32%/39% for 2026/2027/2028 (from 20%/26%/32% previously). We believe the primary drivers for this is both the meaningful increase in MLCC content per AI server as well as the ASP expansion coming from both the like-for-like price increase and product mix improvement within AI with strong orders for 47μF AI MLCCs. We also raise our overall MLCC OPM estimates to 20%/31%/37% for 2026/2027/2028 (18%/28%/35% previously) given the higher AI MLCC mix and the stronger pricing power we believe the company will likely possess.

- **AI tailwind to drive significant revenue/OP growth for**

Key Data

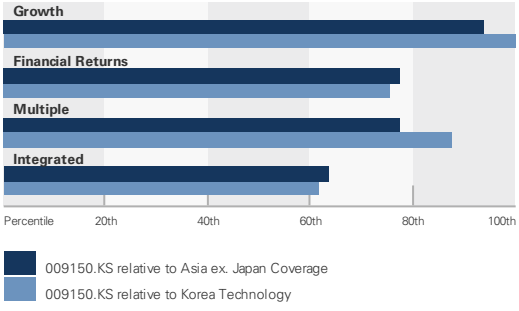
Market cap: W116.8tr / $87.3bn
Enterprise value: W113.7tr / $85.0bn
3m ADTV: W1.0tr / $724.3mn
South Korea
Korea Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (W bn) New	**11,314.5**	**14,452.3**	**19,587.6**	**26,215.0**
Revenue (W bn) Old	11,314.5	14,316.0	18,133.2	23,696.0
EBITDA (W bn)	1,838.0	3,234.2	6,392.6	10,474.2
EPS (W) New	**9,347**	**22,123**	**50,930**	**84,378**
EPS (W) Old	9,347	19,924	42,116	70,172
P/E (X)	17.5	69.9	30.4	18.3
P/B (X)	1.3	8.2	5.2	4.2
Dividend yield (%)	1.5	0.4	0.8	1.4
CROCI (%)	10.5	16.5	22.4	30.3

	6/26	9/26E	12/26E	3/27E
EPS (W)	4,179	6,795	7,851	9,739

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Samsung Electro-Mechanics (009150.KS)

Rating since Jul 14, 2017

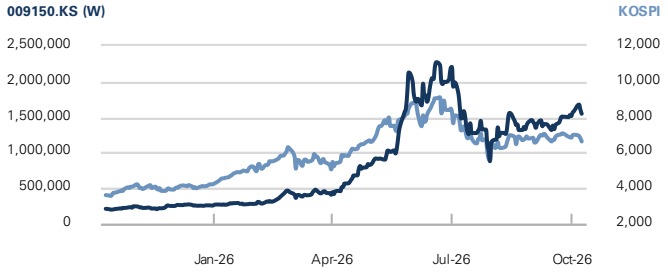
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.5	69.9	30.4	18.3
P/B (X)	1.3	8.2	5.2	4.2
FCF yield (%)	2.1	0.4	1.3	3.0
EV/EBITDAR (X)	6.7	35.2	16.9	10.1
EV/EBITDA (excl. leases) (X)	6.7	35.5	17.0	10.1
CROCI (%)	10.5	16.5	22.4	30.3
ROE (%)	7.7	14.0	21.0	25.6
Net debt/equity (%)	(4.1)	(23.2)	(39.8)	(40.8)
Net debt/equity (excl. leases) (%)	(4.9)	(24.0)	(40.4)	(41.3)
Interest cover (X)	12.3	18.5	45.6	84.1
Days inventory outst, sales	75.2	59.9	45.9	40.7
Receivable days	51.3	48.4	41.8	41.4
Days payable outstanding	23.1	24.0	25.1	25.3
DuPont ROE (%)	7.2	11.4	17.0	22.8
Turnover (X)	0.8	0.7	0.7	0.8
Leverage (X)	1.5	1.4	1.3	1.2
Gross cash invested (ex cash) (W)	18,847.0	22,245.0	26,285.2	31,903.3
Average capital employed (W)	8,947.7	10,213.1	12,288.2	14,923.1
BVPS (W)	126,110	189,285	294,770	365,409

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	9.9	27.7	35.5	33.8
EBITDA growth	16.7	76.0	97.7	63.8
EPS growth	4.0	136.7	130.2	65.7
DPS growth	32.0	135.7	128.6	65.6
EBIT margin	8.1	14.9	24.6	30.2
EBITDA margin	16.2	22.4	32.6	40.0
Net income margin	6.3	11.6	19.6	24.3

Price Performance



	3m	6m	12m
Absolute	4.5%	200.8%	689.6%
Rel. to the KOSPI	14.3%	166.6%	322.9%

Source: FactSet. Price as of 8 Oct 2026 close.

Income Statement (W bn)

	12/25	12/26E	12/27E	12/28E
Total revenue	11,314.5	14,452.3	19,587.6	26,215.0
Cost of goods sold	(9,037.1)	(10,506.9)	(12,111.7)	(14,490.4)
SG&A	(705.4)	(977.4)	(1,759.2)	(2,847.0)
R&D	(658.7)	(818.6)	(893.1)	(966.7)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,838.0**	**3,234.2**	**6,392.6**	**10,474.2**
Depreciation & amortization	(924.7)	(1,084.8)	(1,568.9)	(2,563.3)
EBIT	**913.3**	**2,149.4**	**4,823.7**	**7,910.9**
Net interest inc./(exp.)	(3.9)	(9.3)	158.1	331.5
Income/(loss) from associates	0.7	(16.2)	(16.0)	(16.0)
Pre-tax profit	**895.8**	**2,180.0**	**4,969.8**	**8,230.4**
Provision for taxes	(163.6)	(490.7)	(1,118.2)	(1,851.8)
Minority interest	(24.9)	(18.1)	(4.0)	(4.0)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**707.4**	**1,671.1**	**3,847.6**	**6,374.6**
Post-tax exceptionals	(1.2)	0.2	0.0	0.0
Net inc. (post-exceptionals)	**706.1**	**1,671.3**	**3,847.6**	**6,374.6**
EPS (basic, pre-except) (W)	**9,363**	**22,121**	**50,930**	**84,378**
EPS (diluted, pre-except) (W)	**9,363**	**22,121**	**50,930**	**84,378**
EPS (basic, post-except) (W)	**9,347**	**22,123**	**50,930**	**84,378**
EPS (diluted, post-except) (W)	**9,347**	**22,123**	**50,930**	**84,378**
DPS (W)	2,376	5,600	12,800	21,200
Div. payout ratio (%)	25.4	25.3	25.1	25.1

Balance Sheet (W bn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,701.2	6,388.5	11,732.2	13,912.5
Accounts receivable	1,792.6	2,038.2	2,446.0	3,507.6
Inventory	2,413.0	2,333.4	2,590.9	3,249.3
Other current assets	190.9	265.5	265.5	265.5
Total current assets	**7,097.6**	**11,025.6**	**17,034.6**	**20,935.0**
Net PP&E	6,221.6	8,304.7	–	11,798.8
Net intangibles	152.4	166.1	174.3	172.2
Total investments	138.8	163.2	147.2	131.2
Other long-term assets	985.4	961.6	–	961.6
Total assets	**14,595.9**	**20,621.2**	**28,608.9**	**33,998.8**
Accounts payable	641.0	742.5	922.6	1,083.1
Short-term debt	2,028.1	2,724.5	2,524.5	2,324.5
Short-term lease liabilities	23.3	31.1	38.6	44.2
Other current liabilities	1,127.1	1,433.6	1,426.2	1,420.5
Total current liabilities	**3,819.5**	**4,931.8**	**4,911.9**	**4,872.4**
Long-term debt	188.4	162.4	82.4	42.4
Long-term lease liabilities	58.6	78.2	96.9	111.1
Other long-term liabilities	732.0	833.8	929.5	1,044.2
Total long-term liabilities	**979.1**	**1,074.4**	**1,108.9**	**1,197.7**
Total liabilities	**4,798.6**	**6,006.2**	**6,020.8**	**6,070.1**
Preferred shares	14.5	14.5	14.5	14.5
Total common equity	9,527.2	14,299.9	22,269.0	27,605.6
Minority interest	**255.6**	**300.6**	**304.6**	**308.6**
Total liabilities & equity	**14,595.9**	**20,621.2**	**28,608.9**	**33,998.8**
Net debt, adjusted	(470.2)	(3,487.0)	(9,110.7)	(11,531.0)

Cash Flow (W bn)

	12/25	12/26E	12/27E	12/28E
Net income	706.1	1,671.3	3,847.6	6,374.6
D&A add-back	924.7	1,084.8	1,568.9	2,563.3
Minority interest add-back	24.9	18.1	4.0	4.0
Net (inc)/dec working capital	(425.4)	(64.6)	(485.1)	(1,559.5)
Other operating cash flow	259.8	617.1	130.5	144.8
Cash flow from operations	**1,490.1**	**3,326.8**	**5,065.8**	**7,527.2**
Capital expenditures	(1,192.1)	(2,843.2)	(3,500.0)	(4,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(30.8)	(103.8)	(119.1)	(139.8)
Cash flow from investing	**(1,222.9)**	**(2,947.0)**	**(3,619.1)**	**(4,139.8)**
Repayment of lease liabilities	(27.1)	(33.6)	(43.7)	(52.1)
Dividends paid (common & pref)	(137.7)	(179.5)	(423.1)	(967.0)
Inc/(dec) in debt	636.4	670.5	(280.0)	(240.0)
Other financing cash flows	(50.9)	2,850.1	4,643.7	52.1
Cash flow from financing	**420.7**	**3,307.5**	**3,896.9**	**(1,207.0)**
Total cash flow	**687.9**	**3,687.3**	**5,343.6**	**2,180.4**
Free cash flow	270.9	450.0	1,522.1	3,475.1

Source: Company data, Goldman Sachs Research estimates.

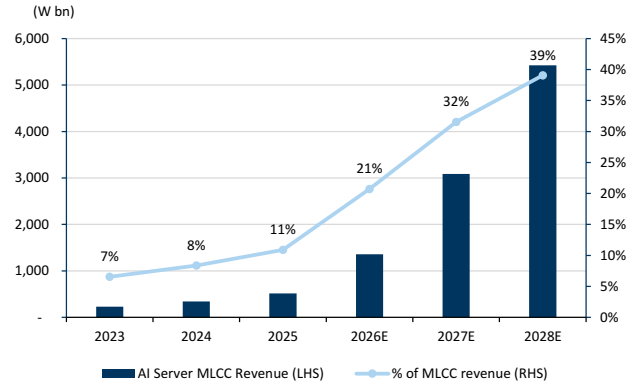
FC-BGA substrates: We raise our estimates for the substrate solutions segment on upgraded expectations for both FC-BGA shipments and ASP. Given we believe SEMCO's FC-BGA capacity is operating near full utilization as of 3Q26, we expect shipment growth to accelerate from 1Q28, as new facilities in Sejong and Vietnam sequentially come online in 2028, alongside upward-tweaked 2027 shipment assumptions reflecting production efficiency gains. Furthermore, the shift toward larger body sizes and higher layer counts in AI datacenter ABF substrates—which SEMCO targets at 70% of its FC-BGA revenue by 2028 (link)—should drive significant ASP and margin expansion given the premium pricing and added complexity of these products. Consequently, we lift our substrate solutions revenue estimates by 1%/7%/13% and OP by 10%/18%/18% for 2026/2027/2028, respectively. We also expect recent LTAs and significant customer capex prepayments to alleviate capex burden while securing long-term utilization, clearly affirming SEMCO's strong position in a seller's market.

- **Expect 3Q26 OP of W670bn, slightly higher than consensus estimate:** We raise OP estimates for substrate solution and component solution by 5% and 16%, while lowering expectations for module solutions by 3%. Overall, we expect OP to increase by 157% yoy and 52% qoq, as strength in MLCC and FC BGA more than offset the headwinds from the stronger KRW vs. USD during the quarter. Our updated estimate is slightly higher compared to the latest BBG consensus estimate of W653bn.

Raise 2026E-28E full year estimates and 12m TP to W2.4mn; remain Buy rated

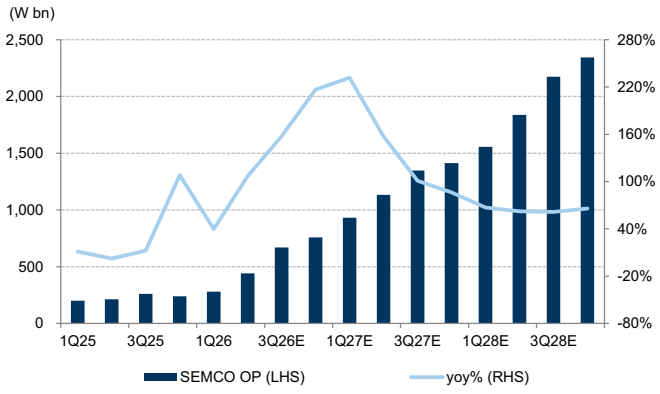
We raise our 2026E/2027E/2028E EPS estimates by 11%/21%/20% as we raise estimates for component and substrate divisions. We also refresh our target multiples (28.1x to 25.7x for substrate solution, 26.4x to 17.9x for component solution, and 11.5x to 18.5x for module solution) to reflect changes in peer valuations and accordingly, our 12m SOTP-based (EV/EBITDA driven) TP goes up to W2,400,000 from W2,250,000; we remain Buy-rated on the name.

Exhibit 1: We revise up our AI MLCC revenue mix to 21%/32%/39% for 2026/2027/2028 (from 20%/26%/32% previously)
AI MLCC revenue and % of total MLCC revenue



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect 3Q26 OP to increase by 157% yoy and 52% qoq, as strength in MLCC and FC BGA more than offset the headwinds from stronger KRW
SEMCO OP and yoy growth



Source: Company data, Goldman Sachs Global Investment Research

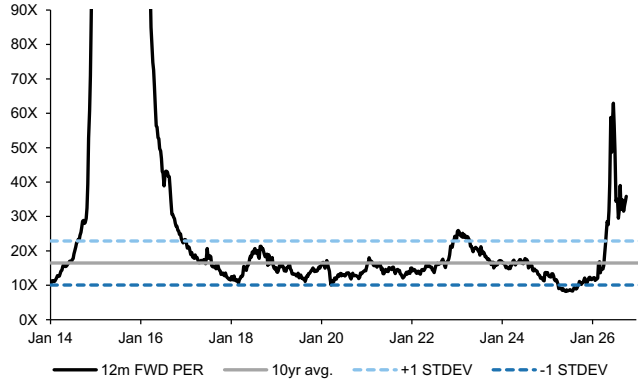
Exhibit 3: Disclosed SEMCO orders in 2026

Product Type	Contract Duration			Contract Amount	Contract Amount
	Announced	Start	End	Wmn	US$mn
MLCC	10/6/2026	1/1/2027	12/31/2027	285,611	210
MLCC/Inductor	9/29/2026	1/1/2027	12/31/2027	285,003	211
MLCC	9/1/2026	1/1/2027	12/31/2027	1,072,220	779
MLCC	7/23/2026	1/1/2027	12/31/2027	295,120	200
MLCC	6/30/2026	1/1/2027	12/31/2027	453,995	294
Silicon Capacitor	5/20/2026	1/1/2027	12/31/2028	1,557,035	1,035
Total				**3,948,983**	**2,729**

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: SEMCO shares are trading at a 34.9X 12m FWD P/E

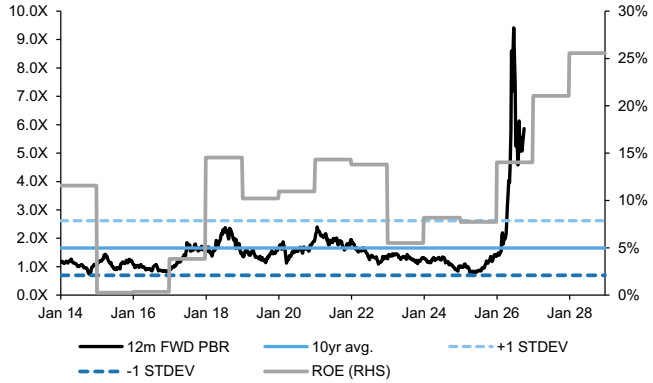
SEMCO 12m FWD P/E



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 5: SEMCO shares are trading at a 5.7X 12m FWD P/B with 2026E/2027E ROE of 14%/21%

SEMCO 12m FWD P/B vs. ROE



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 6: SEMCO earnings revisions

(W bn)	Revised				Previous				Changes (%)			
	3Q26E	FY26E	FY27E	FY28E	3Q26E	FY26E	FY27E	FY28E	3Q26E	FY26E	FY27E	FY28E
Sales	**3,866**	**14,452**	**19,588**	**26,215**	**3,832**	**14,316**	**18,133**	**23,696**	***0.9%***	***1.0%***	***8.0%***	***10.6%***
Substrate Solution	**940**	**3,527**	**4,816**	**6,299**	**931**	**3,486**	**4,484**	**5,591**	***1.0%***	***1.2%***	***7.4%***	***12.7%***
Package	940	3,527	4,816	6,299	931	3,486	4,484	5,591	*1.0%*	*1.2%*	*7.4%*	*12.7%*
Component Solution	**2,016**	**7,109**	**11,123**	**16,103**	**1,964**	**6,929**	**9,870**	**14,127**	***2.7%***	***2.6%***	***12.7%***	***14.0%***
MLCC	1,864	6,547	9,785	13,889	1,812	6,374	8,540	11,917	*2.9%*	*2.7%*	*14.6%*	*16.5%*
Others	152	562	1,338	2,215	152	555	1,330	2,210	*0.0%*	*1.4%*	*0.6%*	*0.2%*
Module Solution	**911**	**3,816**	**3,650**	**3,812**	**938**	**3,901**	**3,779**	**3,979**	***-2.9%***	***-2.2%***	***-3.4%***	***-4.2%***
Camera module	911	3,816	3,650	3,812	938	3,901	3,779	3,979	*-2.9%*	*-2.2%*	*-3.4%*	*-4.2%*
Operating profit	**670**	**2,149**	**4,824**	**7,911**	**600**	**1,911**	**3,894**	**6,527**	***11.6%***	***12.5%***	***23.9%***	***21.2%***
Substrate Solution	**191**	**597**	**1,329**	**2,002**	**183**	**545**	**1,127**	**1,698**	***4.7%***	***9.5%***	***18.0%***	***17.9%***
Package	191	597	1,329	2,002	183	545	1,127	1,698	*4.7%*	*9.5%*	*18.0%*	*17.9%*
Component Solution	**443**	**1,375**	**3,360**	**5,753**	**381**	**1,191**	**2,628**	**4,666**	***16.3%***	***15.4%***	***27.8%***	***23.3%***
MLCC	422	1,310	3,077	5,148	361	1,125	2,389	4,132	*16.8%*	*16.5%*	*28.8%*	*24.6%*
Others	21	65	283	605	20	66	239	534	*7.7%*	*-2.3%*	*18.2%*	*13.4%*
Module Solution	**36**	**177**	**134**	**156**	**37**	**175**	**139**	**163**	***-2.9%***	***1.2%***	***-3.4%***	***-4.2%***
Camera module	36	177	134	156	37	175	139	163	*-2.9%*	*1.2%*	*-3.4%*	*-4.2%*
OP Margin (%)	***17.3%***	***14.9%***	***24.6%***	***30.2%***	***15.7%***	***13.4%***	***21.5%***	***27.5%***				
Substrate Solution	***20.4%***	***16.9%***	***27.6%***	***31.8%***	***19.6%***	***15.6%***	***25.1%***	***30.4%***				
Package	*20.4%*	*16.9%*	*27.6%*	*31.8%*	*19.6%*	*15.6%*	*25.1%*	*30.4%*				
Component Solution	***22.0%***	***19.3%***	***30.2%***	***35.7%***	***19.4%***	***17.2%***	***26.6%***	***33.0%***				
MLCC	*22.6%*	*20.0%*	*31.4%*	*37.1%*	*19.9%*	*17.6%*	*28.0%*	*34.7%*				
Others	*14.0%*	*11.5%*	*21.1%*	*27.3%*	*13.0%*	*11.9%*	*18.0%*	*24.1%*				
Module Solution	***3.9%***	***4.6%***	***3.7%***	***4.1%***	***3.9%***	***4.5%***	***3.7%***	***4.1%***				
Camera module	*3.9%*	*4.6%*	*3.7%*	*4.1%*	*3.9%*	*4.5%*	*3.7%*	*4.1%*				
Pre-tax profit	**664**	**2,180**	**4,970**	**8,230**	**604**	**1,963**	**4,105**	**6,840**	***9.8%***	***11.1%***	***21.1%***	***20.3%***
Net profit	**513**	**1,671**	**3,848**	**6,375**	**468**	**1,505**	**3,182**	**5,301**	***9.6%***	***11.0%***	***20.9%***	***20.2%***
EPS (W)	6,795	22,123	50,930	84,378	6,198	19,924	42,116	70,172	*9.6%*	*11.0%*	*20.9%*	*20.2%*

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: SEMCO earnings summary

(W bn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**3,209**	**3,457**	**3,866**	**3,920**	**4,297**	**4,708**	**5,265**	**5,317**	**11,314**	**14,452**	**19,588**	**26,215**
Substrate Solution	**725**	**772**	**940**	**1,090**	**1,134**	**1,185**	**1,229**	**1,267**	**2,302**	**3,527**	**4,816**	**6,299**
Package	725	772	940	1,090	1,134	1,185	1,229	1,267	2,302	3,527	4,816	6,299
Component Solution	**1,409**	**1,649**	**2,016**	**2,036**	**2,260**	**2,640**	**3,080**	**3,143**	**5,198**	**7,109**	**11,123**	**16,103**
MLCC	1,282	1,517	1,864	1,884	2,005	2,332	2,719	2,729	4,705	6,547	9,785	13,889
Others	127	132	152	152	255	308	361	414	493	562	1,338	2,215
Module Solution	**1,076**	**1,036**	**911**	**794**	**903**	**884**	**955**	**907**	**3,814**	**3,816**	**3,650**	**3,812**
Camera module	1,076	1,036	911	794	903	884	955	907	3,814	3,816	3,650	3,812
Gross profit	**660**	**844**	**1,173**	**1,268**	**1,490**	**1,745**	**2,084**	**2,158**	**2,277**	**3,945**	**7,476**	**11,725**
Operating profit	**281**	**440**	**670**	**758**	**931**	**1,132**	**1,347**	**1,413**	**913**	**2,149**	**4,824**	**7,911**
Substrate Solution	**55**	**105**	**191**	**246**	**289**	**318**	**347**	**375**	**135**	**597**	**1,329**	**2,002**
Package	55	105	191	246	289	318	347	375	135	597	1,329	2,002
Component Solution	**165**	**274**	**443**	**493**	**602**	**781**	**960**	**1,017**	**609**	**1,375**	**3,360**	**5,753**
MLCC	158	260	422	470	558	720	881	918	580	1,310	3,077	5,148
Others	7	14	21	23	44	61	79	99	29	65	283	605
Module Solution	**60**	**61**	**36**	**20**	**41**	**33**	**40**	**21**	**169**	**177**	**134**	**156**
Camera module	60	61	36	20	41	33	40	21	169	177	134	156
Pre-tax profit	**316**	**433**	**664**	**767**	**951**	**1,167**	**1,388**	**1,464**	**896**	**2,180**	**4,970**	**8,230**
Net income	**249**	**316**	**513**	**593**	**736**	**904**	**1,075**	**1,134**	**706**	**1,671**	**3,848**	**6,375**
EPS (W)	**3,298**	**4,179**	**6,795**	**7,851**	**9,739**	**11,960**	**14,226**	**15,005**	**9,347**	**22,123**	**50,930**	**84,378**
Margins (%)												
Gross margin	21	24	30	32	35	37	40	41	20	27	38	45
Operating margin	**9**	**13**	**17**	**19**	**22**	**24**	**26**	**27**	**8**	**15**	**25**	**30**
Substrate Solution	**8**	**14**	**20**	**23**	**25**	**27**	**28**	**30**	**6**	**17**	**28**	**32**
Package	8	14	20	23	25	27	28	30	6	17	28	32
Component Solution	**12**	**17**	**22**	**24**	**27**	**30**	**31**	**32**	**12**	**19**	**30**	**36**
MLCC	12	17	23	25	28	31	32	34	12	20	31	37
Others	6	10	14	15	17	20	22	24	6	12	21	27
Module Solution	**6**	**6**	**4**	**3**	**5**	**4**	**4**	**2**	**4**	**5**	**4**	**4**
Camera module	6	6	4	3	5	4	4	2	4	5	4	4
Net margin	**8**	**9**	**13**	**15**	**17**	**19**	**20**	**21**	**6**	**12**	**20**	**24**

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Samsung Electro-Mechanics

Valuation: We are Buy rated on Samsung Electro-Mechanics with a SOTP-based (2027E-2028E EV/EBITDA driven) 12-month TP of W2,400,000.

Key downside risks: A stronger-than-expected industry MLCC supply increase and weaker-than-expected demand for AI server/auto/smartphones.

Investment Thesis - Samsung Electro-Mechanics

Samsung Electro-Mechanics (SEMCO) is a leading global electronic component supplier with the second-largest market share in multi-layer ceramic capacitor (MLCC). We expect the 1) solid MLCC demand from AI server and auto and 2) strong FC-BGA growth driven by AI customer expansion will lead to solid OP yoy growth and are Buy rated on the name.

Disclosure Appendix

Reg AC

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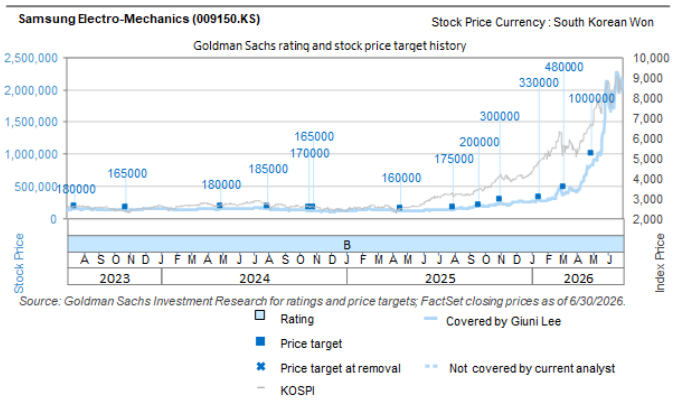
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Target price history table(s)

Samsung Electro-Mechanics (009150.KS)

Date of report	Target price (W)	Closing price (W)
30-Jul-26	2,250,000	879,000
05-Jul-26	2,600,000	1,989,000
30-Apr-26	1,000,000	832,000
06-Mar-26	480,000	404,500
16-Jan-26	330,000	289,500
31-Oct-25	300,000	245,000
21-Sep-25	200,000	197,700
31-Jul-25	175,000	148,700
18-Apr-25	160,000	121,000
29-Oct-24	165,000	120,200
21-Oct-24	170,000	123,000
31-Jul-24	185,000	159,600
29-Apr-24	180,000	151,300
26-Oct-23	165,000	124,100

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